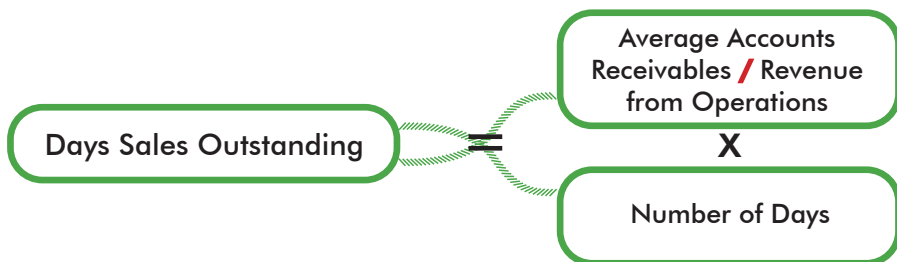


## 2 DSO (Day Sales Outstanding)

This figure signifies **the average credit days that the company has to offer to sell its products**. Here, we can see that year-on-year, the company's DSO has increased significantly from 42 to 60, which is not a good sign. Thus, the **company's DSO has increased year by year**. Days Sales Outstanding uses the same components as Accounts Receivables/Revenue.



Here is the formula for calculating DSO



So, as the DSO continues to increase, **you may have to ask the company or check other reports to find out the reason behind the increasing Average accounts receivable**. If the trend remains the same, then the company will need more of operating working capital.